

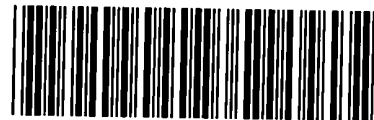
Alpha FMC Group Limited

**Annual report and financial
statements**

Registered number 08506571

31 March 2017

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Company information

Directors

Mr N Kent
Mr T Trotter
Mr N Baker
Mr E Fraser

Secretary

Mr N Baker

Company number

08506571

Registered office

60 Gresham Street
London
EC2V 7BB

Auditor

KPMG LLP
St Nicholas House
Park Row
Nottingham
NG1 6FQ

Directors' report

The directors present their report and the audited financial statements for the year ended 31 March 2017.

Principal activities and review of the business

The company is an intermediate holding company and previously offered management services to its subsidiaries. This year it has had £nil trading activity as the trade now goes through Alpha FMC Bidco Limited.

Results and dividends

The results of the company for the year are set out on page 5.

There were no dividends paid out during the year (2016: £nil). The directors do not recommend payment of a final dividend (2016: £nil).

Directors

The following directors have held office during the period and to the date of this report.

Mr N Kent
Mr T Trotter
Mr N Baker
Mr E Fraser

Political contributions

The Company has made no political donations or incurred any political expenditure during the year.

Statement of disclosure to the auditor

So far as the directors are aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, the directors have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the board



N Baker

Director

60 Gresham Street
London
EC2V 7BB

Date: 3 October 2017

Statement of directors' responsibilities in respect of the annual report and the financial statements

The directors are responsible for preparing the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK Accounting Standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the company and to prevent and detect fraud and other irregularities.



Independent auditor's report to the members of Alpha FMC Group Limited

We have audited the financial statements of Alpha FMC Group Limited for the year ended 31 March 2017 set out on pages 6 to 15. The financial reporting framework that has been applied in their preparation is applicable law and UK Accounting Standards (UK Generally Accepted Accounting Practice), including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland.

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditor

As explained more fully in the Directors' Responsibilities Statement set out on page 3, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit, and express an opinion on, the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the financial statements

A description of the scope of an audit of financial statements is provided on the Financial Reporting Council's website at www.frc.org.uk/auditscopeukprivate.

Opinion on financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 31 March 2017 and of its result for the period then ended;
- have been properly prepared in accordance with UK Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matters prescribed by the Companies Act 2006

In our opinion the information given in the Directors' Report for the financial period for which the financial statements are prepared is consistent with the financial statements.

Based solely on the work required to be undertaken in the course of the audit of the financial statements and from reading the Directors' report:

- we have not identified material misstatements in that report; and
- in our opinion, that report has been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit; and
- the directors were not entitled to take advantage of the small companies exemption from the requirement to prepare a strategic report.

Mark Flanagan (Senior Statutory Auditor)

*for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants*

St Nicholas House
Park Row
Nottingham NG1 6FQ

Dated: 5 October 2017

Statement of income and retained earnings
for year ended 31 March 2017

	<i>Note</i>	2017 £000	2016 £000
Turnover	2	-	1,649
Administrative expenses	4	-	(1,394)
Operating profit		-	255
Interest payable and similar charges	6	-	(3,252)
Loss on ordinary activities before taxation		-	(2,997)
Tax on loss on ordinary activities	7	-	(155)
Loss for the financial year		-	(3,152)
Accumulated deficit at the start of the financial year		(6,459)	(3,307)
Dividends declared and paid		-	-
Accumulated deficit at the end of the financial year		(6,459)	(6,459)

In both the current and preceding year, the company made no material acquisitions and had no discontinued operations.

There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

The attached notes form part of these financial statements.

Balance sheet
at 31 March 2017

	2017	2016
	£000	£000
Fixed assets		
Investments	33,752	33,752
Current assets		
Debtors	1,464	1,965
Creditors: amounts falling due within one year	(19,254)	(19,755)
Net current liabilities	(17,790)	(17,790)
Total assets less current liabilities	15,962	15,962
Net assets	15,962	15,962
Capital and reserves		
Called up share capital	22,421	22,421
Capital contribution reserve	(6,459)	(6,459)
Shareholders' funds	15,962	15,962

These financial statements were approved by the board of directors on 3 October 2017 and were signed on its behalf by:


N Baker
Director

Company registered number: 08506571

The attached notes form part of these financial statements.

Statement of changes in equity

	Called up share capital £000	Capital contribution reserve £000	Profit and loss account £000	Total equity £000
Balance at 1 April 2015	-	-	(3,307)	(3,307)
Total comprehensive income for the period				
Profit or loss	-	-	(3,152)	(3,152)
Increase in share capital	-	-	-	-
Capital contribution	-	22,421	-	22,421
Transactions with owners, recorded directly in equity				
Dividends	-	-	-	-
Total contributions by and distributions to owners	-	-	-	-
Balance at 31 March 2016	-	22,421	(6,459)	15,962

	Called up share capital £000	Capital contribution reserve £000	Profit and loss account £000	Total equity £000
Balance at 1 April 2016	-	22,421	(6,459)	15,962
Total comprehensive income for the period				
Profit or loss	-	-	-	-
Increase in share capital	-	-	-	-
Capital contribution	-	-	-	-
Transactions with owners, recorded directly in equity				
Dividends	-	-	-	-
Total contributions by and distributions to owners	-	-	-	-
Balance at 31 March 2017	-	22,421	(6,459)	15,962
Set aside for dividends declared after the reporting period			-	-
Total			(6,459)	15,962

Notes

(forming part of the financial statements)

1 Accounting policies

Alpha FMC Group Limited (the "Company") is a company limited by shares and incorporated and domiciled in the UK. The registered number is 08506571 and the registered address is 60 Gresham Street, London, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 102 *The Financial Reporting Standard* applicable in the UK and Republic of Ireland ("FRS 102") as issued in August 2014. The amendments to FRS 102 issued in July 2015 and effective immediately have been applied. The presentation currency of these financial statements is sterling. All amounts in the financial statements have been rounded to the nearest £1,000.

The Company's parent undertaking, Alpha FMC Topco Limited, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha FMC Topco Limited are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB. In these financial statements, the company is considered to be a qualifying entity (for the purposes of this FRS) and has applied the exemptions available under FRS 102 in respect of the following disclosures:

- Reconciliation of the number of shares outstanding from the beginning to end of the period;
- Cash Flow Statement and related notes; and
- Key Management Personnel compensation.

As the consolidated financial statements of Alpha FMC Topco Limited include the equivalent disclosures, the Company has also taken the exemptions under FRS 102 available in respect of the following disclosures:

- The disclosures required by FRS 102.11 *Basic Financial Instruments* and FRS 102.12 *Other Financial Instrument Issues* in respect of financial instruments not falling within the fair value accounting rules of Paragraph 36(4) of Schedule 1.

The Company proposes to continue to adopt the reduced disclosure framework of FRS 102 in its next financial statements.

Judgements made by the directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year are discussed in note 15.

1.1. Measurement convention

The financial statements are prepared on the historical cost basis.

1.2. Going concern

Despite net current liabilities of £17,790,000 the Directors have reasonable expectations that the Company, with the backing of Alpha FMC Topco Limited, has adequate resources to continue in operational existence for a further twelve months from the date of signing of these financial statements.

Notes (continued)

1 Accounting policies (continued)

1.3. Classification of financial instruments issued by the Company

In accordance with FRS 102.22, financial instruments issued by the Company are treated as equity only to the extent that they meet the following two conditions:

- (a) they include no contractual obligations upon the company to deliver cash or other financial assets or to exchange financial assets or financial liabilities with another party under conditions that are potentially unfavourable to the company; and
- (b) where the instrument will or may be settled in the company's own equity instruments, it is either a non-derivative that includes no obligation to deliver a variable number of the company's own equity instruments or is a derivative that will be settled by the company's exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments.

To the extent that this definition is not met, the proceeds of issue are classified as a financial liability. Where the instrument so classified takes the legal form of the company's own shares, the amounts presented in these financial statements for called up share capital and share premium account exclude amounts in relation to those shares.

1.4. Basic financial instruments

Trade and other debtors / creditors

Trade and other debtors are recognised initially at transaction price less attributable transaction costs. Trade and other creditors are recognised initially at transaction price plus attributable transaction costs. Subsequent to initial recognition they are measured at amortised cost using the effective interest method, less any impairment losses in the case of trade debtors. If the arrangement constitutes a financing transaction, for example if payment is deferred beyond normal business terms, then it is measured at the present value of future payments discounted at a market rate of instrument for a similar debt instrument.

Investments in subsidiaries

These are separate financial statements of the company. Investments in subsidiaries are carried at cost less impairment.

1.5. Impairment excluding deferred tax assets

Financial assets (including trade and other debtors)

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimated future cash flows of that asset that can be estimated reliably.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment an impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impaired asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

Non-financial assets

The carrying amounts of the Company's non-financial assets, other than deferred tax asset, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the "cash-generating unit").

Notes (continued)

1 Accounting policies (continued)

1.5 Impairment excluding deferred tax assets (continued)

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit (group of units) on a *pro rata* basis.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

2 Turnover

	2017 £000	2016 £000
Rendering of services	-	1,649
Total turnover	-	1,649
	2017 £000	2016 £000
<i>By activity</i>		
Management Services	-	1,649
<i>By geographical market</i>		
UK	-	1,384
Europe	-	222
Rest of the World	-	43
	-	1,649

3 Auditor's remuneration

Auditor's remuneration:

	2017 £000	2016 £000
Audit of these financial statements	2	2

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's parent, Alpha FMC Topco Limited.

Notes (continued)

4 Staff numbers and costs

The average number of persons employed by the Company (including directors) during the year, analysed by category, was as follows:

	Number of employees	
	2017	2016
Administrative	-	-
Other	-	2
	<u>-</u>	<u>2</u>
	-	2
	<u>-</u>	<u>2</u>

The aggregate payroll costs of these persons were as follows:

	2017 £000	2016 £000
Wages and salaries	-	434
Social security costs	-	56
Contributions to defined contribution plans	-	7
	<u>-</u>	<u>497</u>
	-	497
	<u>-</u>	<u>497</u>

5 Directors' remuneration

Directors of the Company are paid out of other entities within the group. The Directors believe the value of the services performed in respect of the Company are negligible and therefore have not been disclosed.

6 Interest payable and similar charges

	2017 £000	2016 £000
Interest payable on financial liabilities at amortised cost	-	3,252
	<u>-</u>	<u>3,252</u>

Notes (continued)

7 Taxation

Total tax expense recognised in the profit and loss account

	2017		2016	
	£000	£000	£000	£000
<i>Current tax</i>				
Current tax on income for the period		-		-
Adjustments in respect of prior periods		-		-
Total current tax		-		-
<i>Deferred tax</i>				
Origination and reversal of timing differences	-		(155)	
Change in tax rate	-		-	
Total deferred tax		-		(155)
Total tax		-		(155)

Reconciliation of effective tax rate

	2017	2016
	£000	£000
Loss for the year	-	(3,152)
Total tax expense	-	155
Loss excluding taxation	-	(2,997)
Tax using the UK corporation tax rate of 20% (2016: 20%)	-	(599)
Reduction in tax rate on deferred tax balances	-	5
Non-deductible expenses	-	334
Current year losses for which no deferred tax asset was recognised	-	50
Group relief surrendered	-	342
Under / (over) provided in prior years	-	23
Total tax expense included in profit or loss	-	155

Reductions in the UK corporation tax rate to 19% (effective from 1 April 2017) and to 18% (effective 1 April 2020) were substantively enacted on 26 October 2015, and an additional reduction to 17% (effective from 1 April 2020) was substantively enacted on 6 September 2016. This will reduce the company's future tax charge accordingly. The deferred tax assets and liabilities at 31 March 2017 have been calculated based on the rates substantively enacted at the balance sheet date.

Notes (continued)

8 Fixed asset investments

	Shares in group undertakings £000
<i>Cost</i>	
At beginning and end of year	33,752
<i>Provisions</i>	
At beginning and end of year	-
<i>Net book value</i>	
At 31 March 2017	33,752
At 31 March 2016	33,752

The Company has the following investments in subsidiaries:

<i>Subsidiary undertakings</i>	Country of incorporation	Registered address	Principal activity	Class and percentage of shares held (*indirect)
Alpha Financial Markets Consulting Group Limited	UK	60 Gresham Street, London, EC2V 7BB	Intermediate holding company	100% ordinary
Alpha Financial Markets Consulting Limited	UK	60 Gresham Street, London, EC2V 7BB	Consultancy services to asset/wealth management industry	100% ordinary*
Alpha Financial Markets Consulting (France) SA	France	6 Square de l'Opéra Louis Jouvet, 75009 Paris, France	Consultancy services to asset/wealth management industry	100% ordinary*
Alpha Financial Markets Consulting Inc	USA	400 Madison Avenue, New York, NY 10017	Consultancy services to asset/wealth management industry	100% ordinary*
Alpha Financial Markets Consulting (Luxembourg) SARL	Luxembourg	19/21 route d'Arlon - bloc B, L-8009 Strassen, Luxembourg	Consultancy services to asset/wealth management industry	100% ordinary*
Alpha Financial Markets Consulting Netherlands B.V.	Netherlands	Zuid-Hollandlaan 7, Den Haag, 2596 AL, The Netherlands	Consultancy services to asset/wealth management industry	100% ordinary*
Alpha Financial Markets Consulting Singapore Pte. Limited	Singapore	16 Raffles Quay, 33-03 Hong Leong Building, Singapore (048581)	Consultancy services	100% ordinary*
Alpha Financial Markets Consulting Switzerland S.A.	Switzerland	Rue du Rhône 14 – 1204 Geneva, Switzerland	Consultancy services	100% ordinary*
Glass Client Programs Limited	UK	60 Gresham Street, London, EC2V 7BB	Dormant	100% ordinary*
Alpha Technology Services Consulting Limited	UK	60 Gresham Street, London, EC2V 7BB	Dormant	100% ordinary*

Notes (continued)

8 Fixed asset investments (continued)

	Share capital and reserves £000	Profit/(loss) for the period £000
<i>Subsidiary undertakings</i>		
Alpha Financial Markets Consulting Group Limited	15,770	(5)
Alpha FMC Group Nominees Limited	-	-
Alpha Financial Markets Consulting Limited	16,105	5,509
Alpha Financial Markets Consulting (France) SA	3,302	1,061
Alpha Financial Markets Consulting Inc	(1,321)	(432)
Alpha Financial Markets Consulting (Luxembourg) SARL	464	87
Alpha Financial Markets Consulting Netherlands B.V.	(137)	59
Alpha Financial Markets Consulting Singapore Pte. Limited	-	-
Alpha Financial Markets Consulting Switzerland S.A.	21	(17)
Glass Client Programs Limited	-	-
Alpha Technology Services Consulting Limited	-	-
	<u> </u>	<u> </u>

9 Debtors

	2017 £000	2016 £000
Amounts owed by group undertakings	1,184	1,654
Other debtors	280	311
	<u> </u>	<u> </u>
	1,464	1,965
	<u> </u>	<u> </u>

All debtors are due within one year.

10 Creditors: amounts falling due within one year

	2017 £000	2016 £000
Amounts owed to group undertakings	19,254	19,563
Other creditors	-	16
Accruals and deferred income	-	176
	<u> </u>	<u> </u>
	19,254	19,755
	<u> </u>	<u> </u>

Notes (continued)

11 Capital and reserves

Share capital

	2017 £000	2016 £000
<i>Allotted, called up and fully paid</i>		
1 ordinary share of £1	-	-
	<u> </u>	<u> </u>
Shares classified in shareholders' funds	-	-
	<u> </u>	<u> </u>

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

A Capital Contribution of £22,421,000 was received from Alpha FMC Group Holdings Limited during 2016.

12 Related parties

Identity of related parties with which the Company has transacted

During the year, an amount of £nil (2016: £20,000) was charged to the company by Mr T Trotter, a director of the company, for consultancy services.

Regarding transactions with wholly-owned subsidiaries the Company has taken advantage of the exemptions under FRS 102.33 'Related Party Transactions' for wholly owned subsidiaries not to disclose such transactions.

13 Contingencies

The Company is a cross-guarantor for the Beechbrook and Lloyds loans held in Alpha FMC Bidco Limited. The company does not owe any monies in respect of these loans as at 31 March 2017.

14 Ultimate parent company and parent company of larger group

The Company is a subsidiary undertaking of Alpha FMC Group Limited. The ultimate parent is Alpha FMC Topco Limited and the ultimate controlling party is Dunedin LLP.

The largest and smallest group in which the results of the Company are consolidated is that headed by Alpha FMC Topco Limited, incorporated in England and Wales. The consolidated financial statements of the group are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB.

15 Accounting estimates and judgements

Key sources of estimation uncertainty

There is no significant estimation uncertainty.